

IN THE MATTER OF AN ARBITRATION
BEFORE THE JUMBO INTERNATIONAL ARBITRATION CENTRE
(JIAC)

ABC 08/2025

BETWEEN:

Monday Morning LLC

[Claimant]

Friday Evening LLC

[Respondent]

Before

Mr Rohit Singhal (Sole Arbitrator)

6 Aug Test

Wednesday 6 August 2025

Mr. Harish Salve, Mr Tom Sprange (Of ABC Law)
On Behalf of Claimant

Mr Frank Mwalongo (of Appex Attorneys)
On Behalf of Respondent



01 06 August 2025 test

02 **CHAIRMAN:** Given by the experts yesterday as to the
03 design defects, some part of it relates to if we see
04 on this page itself, paragraph 3 on the right side,
05 estimated cost of rectification. That is in Mr Paul's
06 scope of?

07 A. This is not.

08 **1 Q. Estimated cost of the new mill?**

09 A. Estimated cost of new mill.

10 **2 Q. There's no rectification cost?**

11 **CHAIRMAN:** What you're saying now is that only the third
12 column in this table is his responsibility? We have
13 to have a fair process by which the other parties can
14 prepare their questions and this has not been
15 specified in your list, which makes it very difficult,
16 I'm afraid.

17 So all my records, since I had one sentence in his
18 or the other sentence -- so my records, I went by the
19 paragraph.

20 So my Lords, the objection may kindly not be
21 allowed and the witness will be directed to answer.

22 **CHAIRMAN:** Mr Smith, you can ask the question of course
23 and he can say if he doesn't know or whether he needs
24 you to rephrase it.

25 **MR SPRANGE:** I'll repeat the question and the answer is

26 his.

27 **CHAIRMAN:** Thank you.

28 **MR SPRANGE:** In the list of design deficiencies in the

29 list I have just shown to you, bundle L2, page 63,

30 which of the deficiencies pertained to the proprietary

31 design of Prime Metals? This technological process

32 technological and mechanical subject?

33 A. I think yesterday I already clarified I'm not part of

34 this matter.

35 **3 Q. Are you aware that the designs and drawings which were**

36 **done with the issuer approved by respondent number 1**

37 **and/or Mecon?**

38 A. Now, yes, but not before that. We simply asked for

39 cost estimation of the plant, starting from source of

40 cost estimation.

41 **4 Q. I'm inviting your attention to bundle E54, page 104,**

42 **clause 2.1.4.2.2 of the technical specifications.**

43 **My simple question to you is: does the saw**

44 **metallic disk also mean the cold saw?**

45 A. Yes, yes.

46 **5 Q. Is it to your knowledge whether there was any**

47 **deficiency in the cold saw machine provided by the**

48 **claimant?**

49 A. Actually, I came to know from just few days

50 deliberation and going through this thing, but before

51 estimation, I was not aware.

52 **6 Q. Since you have said that you are now aware of the**
53 **process for the last 10 years or so --**

54 A. In particular, this machine is the one we were using
55 at the time of -- (overspeaking) --

56 **CHAIRMAN:** Can you wait, please, until he's asked the
57 full question. Then you get your turn to answer the
58 question.

59 **WITNESS:** Okay.

60 **MR SPRANGE:** Would it be correct to say that the cold saw
61 process includes the operation of the three cold saw
62 machines, including upper and lower pressing devices,
63 lateral pressing devices, roller tables and stopper?

64 A. Yeah. That is part of the process.

65 **7 Q. Are you aware that the design of the upper and lower**
66 **pressing devices, lateral pressing devices, roller**
67 **tables and stopper were approved by respondent**
68 **number 1?**

69 A. Not aware.

70 **8 Q. Is it correct that the layout of the cold saw area and**
71 **the handling area was approved by respondent number 1?**

72 A. I'm not aware about this approval process.

73 **9 Q. I'm now inviting your attention to exhibit E61-63.**
74 **Are you aware that after the correction or after**
75 **the error was pointed out in the computation made by**

76 the experts in their first report, in the rebuttal
77 report, the experts appointed by LSI agreed that the
78 capacity of the rolling mill was 9 lakh, 37,000 tonnes
79 per annum? Are you aware of this?

80 A. After discussion, no, no.

81 **10 Q. Now I invite your attention to bundle E61, page 64.**

82 **From the table, can you confirm that this cyclic**
83 **time for all the 22 sections mentioned in this table**
84 **is exactly the same?**

85 A. I'm not aware. This very process is very important to
86 the mechanical subject, highly process mechanical
87 related subject.

88 **11 Q. So your proficiency or your expertise or your**
89 **experience in the mechanical field does not pertain**
90 **to this?**

91 A. No, it's more like -- (overspeaking) -- sorry, this is
92 the process.

93 **12 Q. In the last 10 years, your expertise does not pertain**
94 **to this topic?**

95 A. No.

96 **13 Q. Okay. Would it be correct that you would not be able**
97 **to answer anything on this table?**

98 A. No.

99 **14 Q. Would it be correct to say that the recording made in**
100 **these tables was based on observations made in the**

101 field? Are you aware of this?

102 A. Sometimes it is witnessed by all parties. I have come

103 across this type of table, came across -- actually,

104 I was part of the team, and I have seen this type of

105 table the product makes which is coming out and

106 witnessed, whatever things are coming out, what the

107 time span was.

108 **15 Q. Would you agree from your experience only, would you**

109 **agree in this cyclic time of different sections cannot**

110 **be the same?**

111 A. Yes.

112 **16 Q. Is it correct that the claim made by respondent**

113 **number 1 in the present arbitration proceedings for**

114 **setting up a new mill was based on the calculation**

115 **made by you?**

116 A. Yes.

117 **17 Q. I have just pointed out to you that based on the**

118 **expert report of the claimants' witness Mr Ilan Govan,**

119 **certain changes had been made by the LSI experts in**

120 **their rebuttal report and as per those changes, the**

121 **production capacity had been increased? Were you made**

122 **aware of this or not?**

123 A. Not preparing this cost estimation, no. But during

124 this hearing process, I came to know, yes.

125 **18 Q. Would it be correct to say that if the production**

126 capacity was shown to have increased from 7 lakh,
127 20,000 TPA to 9 lakh, 37,000 TPA, the counterclaim
128 amount would also be required to be amended?

129 A. I should not comment on this thing. Because it's
130 different perspective. Lots of perspectives are
131 there.

132 **19 Q. I'm now inviting your attention to bundle L32,**
133 **page 66, serial number 4. The heading is:**

134 **"Source of cost estimation."**

135 **Is that correct?**

136 A. Yeah.

137 **20 Q. My question to you is --**

138 **CHAIRMAN: I think you just need the page to go down.**

139 **It's heading number 4.**

140 **MR SPRANGE: Yes, this paragraph.**

141 **My question to you is has the cost estimate report**
142 **been placed on the record of the arbitral tribunal**
143 **which is mentioned in this paragraph?**

144 A. This is reflected.

145 **21 Q. No, sir. My question is from the documents on the**
146 **record of the honourable arbitral tribunal. Can we**
147 **find the cost estimation report anywhere?**

148 A. I've not gone through the entire document, but the
149 part of this document which is relevant to my
150 understanding of this matter is that portion on the

151 screen now.

152 **22 Q. Is it also correct that all the calculations that you**
153 **have made in the report are based only on this cost**
154 **estimate report?**

155 A. Actually, cost estimate report I have prepared the
156 estimation purpose, estimation up to 26 times on this
157 table 24.

158 **23 Q. Yeah, that's what I'm asking.**

159 A. That I have prepared.

160 **24 Q. Based on that cost estimate report, and you're not**
161 **aware whether it is on the record of the tribunal or**
162 **not. You're not aware of this?**

163 A. At the time I'm not aware, but I find now it is
164 relevant. It's okay. I'm not aware.

165 **25 Q. Was the said cost estimate report made a part of the**
166 **report of the LSI experts?**

167 A. Yes.

168 **26 Q. You have got the report of the LSI expert with you?**
169 **You have got that report with you?**

170 A. Yeah.

171 **27 Q. Can you see the index and point out under which**
172 **attachment or heading can we see this cost estimate**
173 **report? Just see the index of this document or even**
174 **the rebuttal report, both of them will show it.**
175 **It is covered under 7.1.6, under the heading,**

176 "Capex Required". This is the capex that was
177 required.

178 **28 Q. Which report are you seeing, sir?**

179 A. Which paragraph it is? (Pause).

180 **29 Q. Is it your case that your report is a part of the**
181 **summary of deficiencies and capex required?**

182 A. Yes, yes.

183 **30 Q. This is exactly what I had shown you in the report,**
184 **this paragraph.**

185 A. Yeah.

186 **31 Q. But you said that you're not aware whether the cost**
187 **estimate report is there or not. That is why**
188 **I requested you to see the index, and in the index**
189 **also you are referring me back to the same paragraph.**
190 **My simple question is can you show in the index or no?**

191 A. Yes.

192 **32 Q. It's there. Your answer is it is there?**

193 A. Yeah.

194 **PROF THAKUR:** No more questions.

195 **CHAIRMAN:** I think you might need to shuffle over, if you
196 don't mind. We just have to move people around,
197 because Mr Anglia is now going to ask you some
198 questions, I assume.

199 Mr Anglia? Of course.

200 **MS BAJAJ:** I'm ready, madam.

201 Cross-examination by MS BAJAJ

202 **MS BAJAJ:** Good morning to you, Mr Paul.

203 You're aware that you're under an oath to tell

204 the truth?

205 A. Yeah.

206 **33 Q. How is your health -- off the record.**

207 A. It's okay.

208 **34 Q. You're okay?**

209 **Mr Paul, I'm also equally confused which part of**

210 **this report is yours and which part is not yours. So**

211 **let me ask certain basic questions.**

212 **Let us start with L31-1.**

213 **Mr Paul, presently I'm concerned with this report.**

214 **Can you clarify? Are you a co-author of this report?**

215 **Part of this report are certain portion, cost**

216 **estimation part is written by me.**

217 **35 Q. I then take it that in relation to such part of the**

218 **report which includes your inputs, you are co-author**

219 **in that sense, correct? What is the date of this**

220 **report, Mr Paul?**

221 **CHAIRMAN: Sorry just to stop you for a moment. Did you**

222 **agree with Mr Anglia's last question? Did you say**

223 **"yes"?**

224 A. Yes.

225 **CHAIRMAN:** Because the transcript only recorded "mm-hmm",

226 so you need to say "yes" if the answer is yes, "no" if
227 the answer is no.

228 A. Yes.

229 **CHAIRMAN:** Do you understand? I'm sorry for
230 interrupting.

231 **MS BAJAJ:** I'm obliged, my Lord.

232 A. Thank you.

233 **36 Q. Can you, Mr Paul, tell what is the date of this**
234 **report?**

235 A. I prepared this report in July 2023 some time.

236 **37 Q. I was wanting the specific date, Mr Paul.**

237 A. Specific date is very difficult to remember, but
238 I think before 15 or 17 July, something like
239 that, 2023.

240 **38 Q. The input report that you gave to IDPI Capital was**
241 **signed by you?**

242 A. I have given a report, my name, that was signed
243 definitely signed by me to them, to LSI.

244 **39 Q. Mr Paul, this report is from IDPI Capital Market?**

245 A. Yeah.

246 **40 Q. So can you clarify, when you take LSI, whether IDPI**
247 **Capital Market appointed you or LSI appointed you?**

248 A. LSI.

249 **41 Q. At the same time, you agree that you're a co-author of**
250 **this report which is by IDPI Capital Markets?**

251 A. The content of certain portions of the report, that
252 estimation purpose, is from taken from my report. It
253 is reflecting here.

254 **42 Q. Did you at any time gave any written consent to IDPI**
255 **Capital Market to borrow inputs from your report?**

256 A. I have given my consent to LSI to give it to concerned
257 parties, that is IDPI or DSB to give this report.

258 **43 Q. Is that consent that you're talking about is available**
259 **on the records of the arbitral tribunal?**

260 A. I'm not aware.

261 **44 Q. You have not been able to specify specifically state**
262 **the exact date of July 2023 for this report, is that**
263 **correct?**

264 A. Yes.

265 **45 Q. I need to know which part of the report you are able**
266 **to depose before this honourable --**

267 A. L32/66.

268 **46 Q. Let us come to 32. You say 32/66, is it correct?**

269 A. Yes, sir.

270 **47 Q. So 32/66 is paragraph 4 of the report?**

271 A. Yes.

272 **48 Q. So you have been able to depose on paragraph 4 of the**
273 **report; correct?**

274 A. Yes, sir.

275 **49 Q. Now, how about paragraph 5 of the report? Are you**

276 able to depose on that?

277 A. Yes, sir.

278 **50 Q. In paragraph 5 of your report, you have made certain**
279 **cost estimations?**

280 A. Yes.

281 **51 Q. In support of those cost estimations, did you bring to**
282 **the court and attached to your report any market**
283 **quotations, price evaluations, any market information**
284 **which will justify or prove those data and information**
285 **about the prices and values?**

286 A. No, sir. Everything was available. It is just from
287 our experience, whatever gather over the years from
288 that I have generated this report.

289 **52 Q. Do you agree that price is a dynamic factor --**

290 A. Yes.

291 **53 Q. -- which changes from day to day?**

292 A. Yes.

293 **CHAIRMAN:** Please wait until he's finished the whole
294 question.

295 But you agree with his whole question.

296 A. Yes.

297 **CHAIRMAN:** Thank you.

298 **MS BAJAJ:** Is it therefore not correct that whatever be
299 your experience about prices, it becomes obsolete in
300 view of the dynamic nature of prices?

301 A. These estimations done in the month of July 2023 are
302 questioning the matters in June 2023.

303 **54 Q. But you agree with me that in support of your claim**
304 **that these are based on prices of June 2023, you have**
305 **not brought any document on record to show that in any**
306 **of the publicly available information or public**
307 **domain, these prices are reflected, like MCX or any**
308 **other, this thing which quotes the prices?**

309 **A. These documents are available:**
310 "This information is available as raw material,
311 steel price and all these are available at different
312 government websites."
313 There's a portal where all these things are
314 available.

315 Also as per the WPI wholesale price index of RBI
316 guidelines, based on that.

317 **55 Q. Mr Paul, we are talking about a price prevailing on**
318 **a particular date. How does --**

319 A. But how --

320 **56 Q. Please allow me to complete.**

321 A. Sorry. Sorry.

322 **57 Q. How does WPI at all influence the price of**
323 **a particular day which we're now quoting about the RBI**
324 **index?**

325 A. Sorry, answer?

326 **58 Q. My question is you just now said that you have adopted**
327 **WPI index, RBI index, blah, blah, blah, for taking**
328 **a particular model in the market police. How does,**
329 **from your experience of what you know the price is**
330 **from years of experience, that WPI affects or**
331 **influences price of a commodity on a particular day?**

332 A. Should I answer, sir?

333 **CHAIRMAN:** Yes, please answer.

334 **MS BAJAJ:** When I stop, you can kindly answer.

335 A. First, commodity price on the particular date at the
336 end of June 2023. WPI index used for the effort and
337 the input labour cost or a cost, the enhancement
338 price.

339 The commodity price, the raw material price -- at
340 that point of time, the steel price considered from
341 that day, end of June 2023.

342 **59 Q. I was asking questions only on commodity prices and**
343 **not WPI in relation to labour and all those things.**
344 **So you agree that WPI has got no connection with the**
345 **price of a commodity on a particular date? Do you**
346 **agree with me? Commodity I'm talking about.**

347 A. Correct, yes.

348 **60 Q. You also agree that though you claim that you have**
349 **taken June to end prices, you have not brought on what**
350 **were taken by you are still the prices at the end**

351 of June?

352 A. Yes.

353 **61 Q. Mr Paul, while deposing before in cross-examination of**
354 **my learned friend earlier, you said that from your**
355 **experience, you have not come across any similar mill**
356 **to be established with a less than capacity of less**
357 **than 0.45 million tonnes per annum. Is it correct?**

358 A. Of this nature? No. But some bar mill, small, small
359 bar mill which is around 0.3 million tonnes mill,
360 I have seen I came across.

361 **62 Q. Can I suggest to you that this fact that there cannot**
362 **be any economic size below 0.45 million metric tonnes**
363 **is also from your experience and not through any**
364 **document brought on record?**

365 A. Pardon me? One second.

366 **63 Q. Sure. I'll explain.**
367 **I am suggesting you that this particular**
368 **proposition that a mill, a similar nature mill cannot**
369 **be economically viable if it is less than 0.45 million**
370 **metric tonnes per annum, is also from out of your**
371 **experiences and not bringing on record any study or**
372 **any authentic document to support that claim.**

373 **Do you understand? I need further explanation,**
374 **Mr Paul.**

375 A. Actually, no. I've never come across less than this

376 capacity of this similar type of plant.

377 **CHAIRMAN:** What he's asking you is that suggestion that
378 there would not be a plant below 0.45, is that based
379 on your experience or is that based on some kind of
380 document that we can look at on the record? Why do
381 you say that?

382 A. No record I have seen, never came across, but I've
383 seen a plant which was established -- set up almost
384 40 years back or 50 years back. Those plants no more
385 exist, but some components are used in different
386 purposes.

387 **CHAIRMAN:** So is it fair to say, then, that it's based on
388 your own experience?

389 A. Yeah.

390 **CHAIRMAN:** Thank you.

391 **MS BAJAJ:** Mr Paul, when you say that a mill of a less
392 than capacity of 0.45 million tonnes per annum is not
393 viable, on a similar vein, you suggest that the
394 respondent number 1 can have a mill of 0.25 million
395 tonnes per annum at a cost that you have estimated.

396 Is it not contradictory to your own proposition?

397 A. I was asked for an estimation of a 0.28 MTPA plant.
398 I said it does not exist.

399 (10.47 am)

400 (The hearing adjourned until 10 am on the following day)